

ONLINE APPENDIX

Scatter plots of relationships between area fixed effects and other factors.

Figure A1: Relationship between GVA (difference from GB average) and area fixed effects

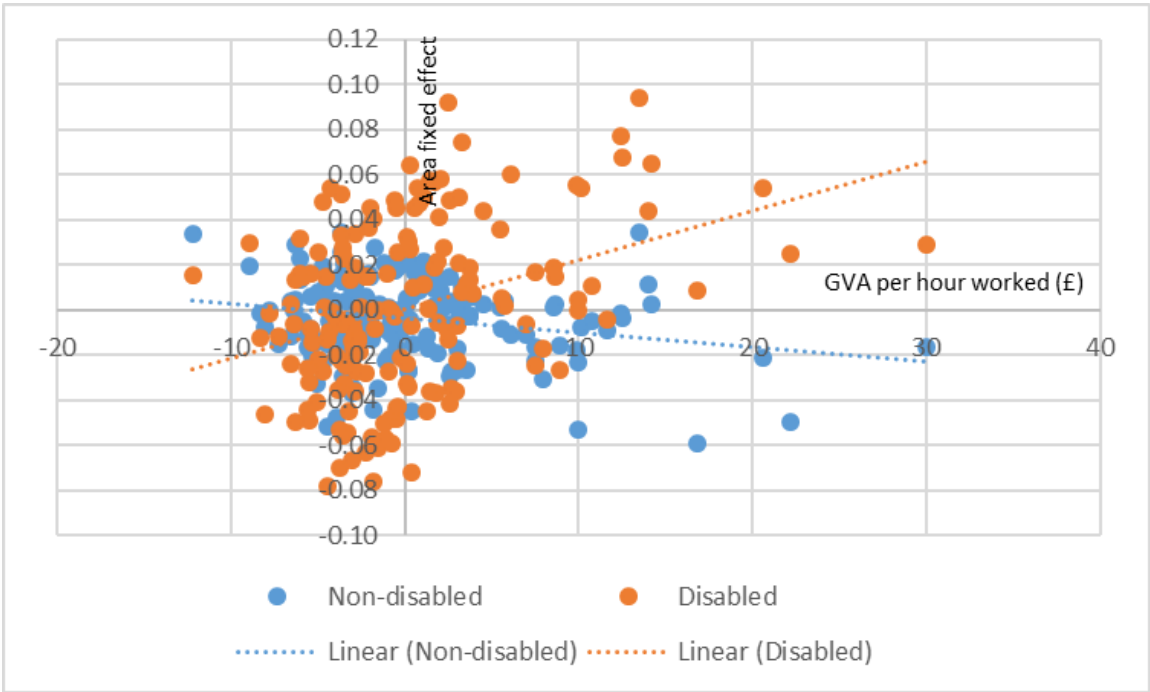


Figure A2: Relationship between employment share in manufacturing (difference from GB average) and area fixed effects

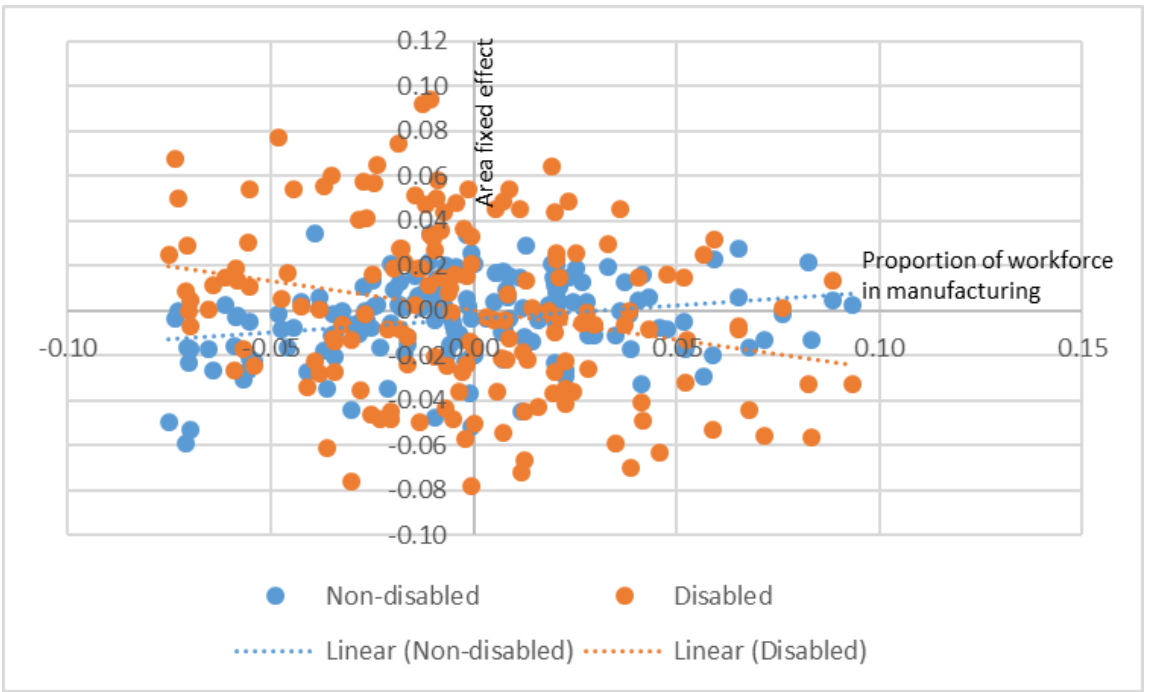


Figure A3: Relationship between employment share in other production (difference from GB average) and area fixed effects

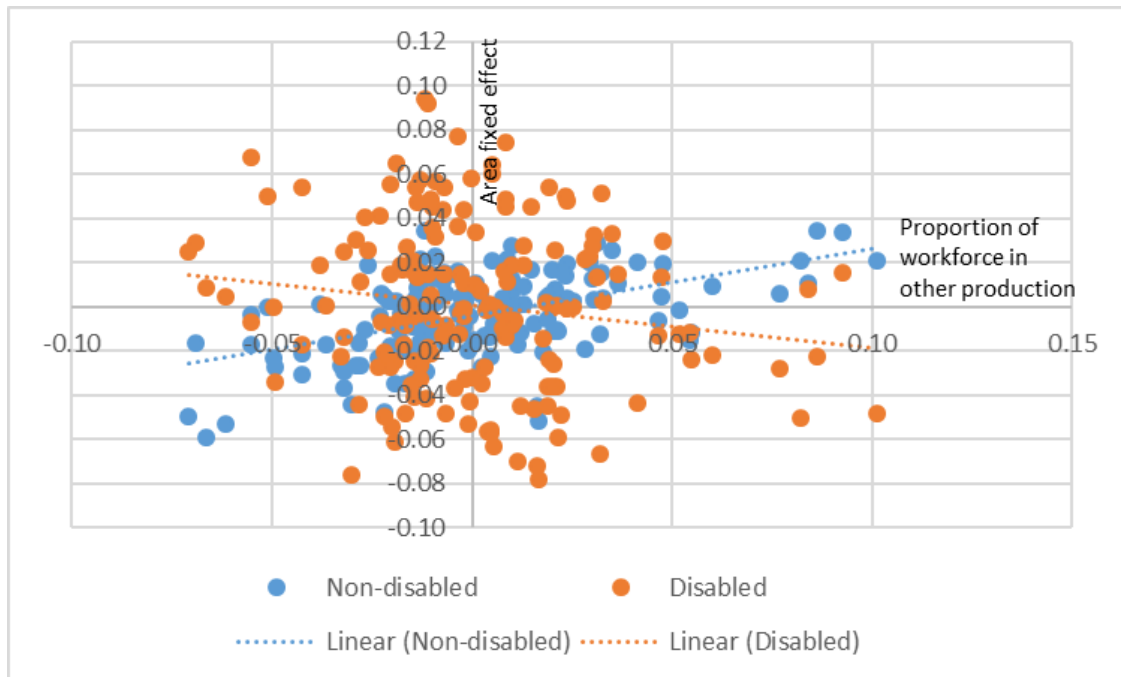


Figure A4: Relationship between employment share in other services (difference from GB average) and area fixed effects

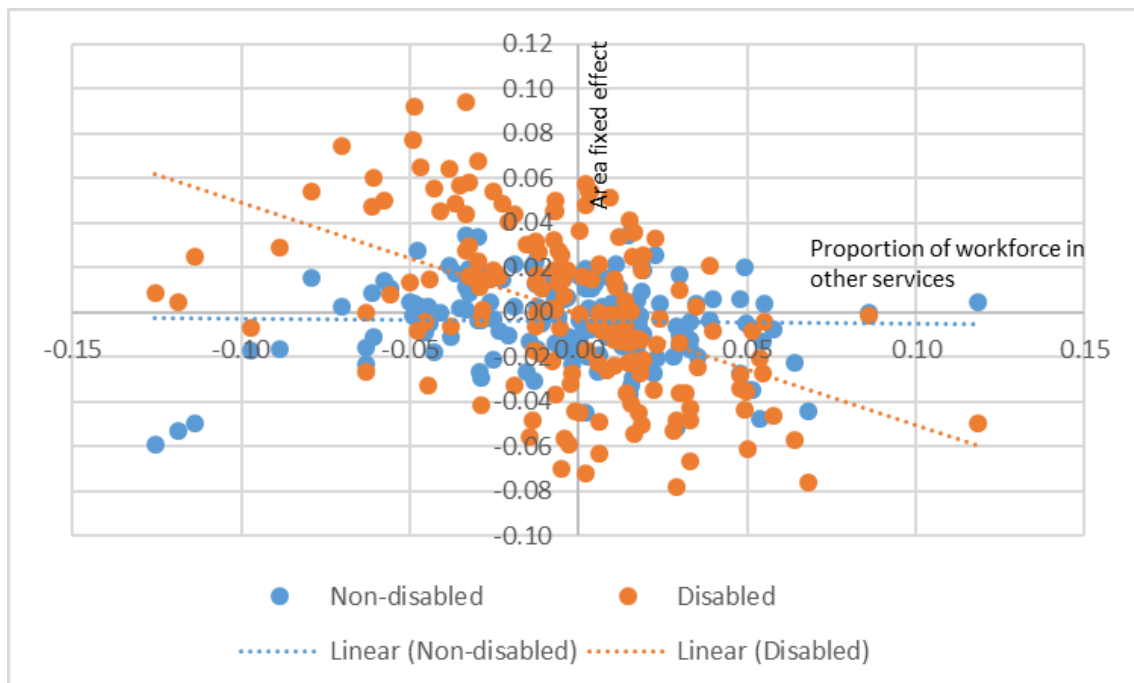


Figure A5: Relationship between employment share in Level 4 occupations (difference from GB average) and area fixed effects

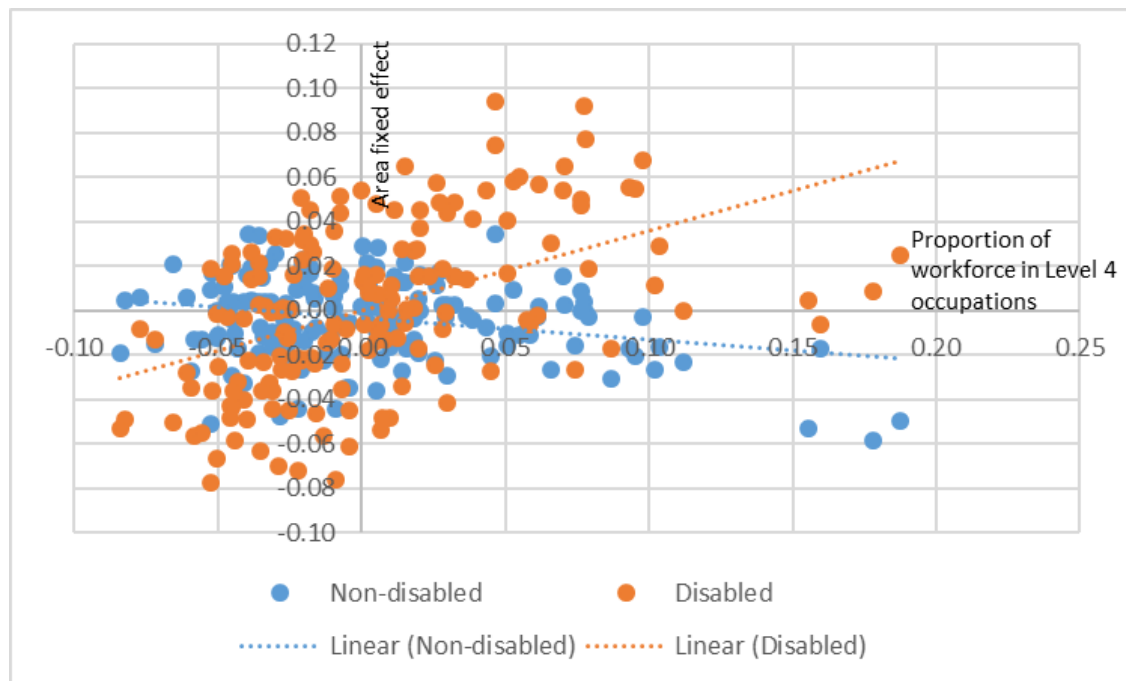


Figure A6: Relationship between employment share in Level 3 occupations (difference from GB average) and area fixed effects

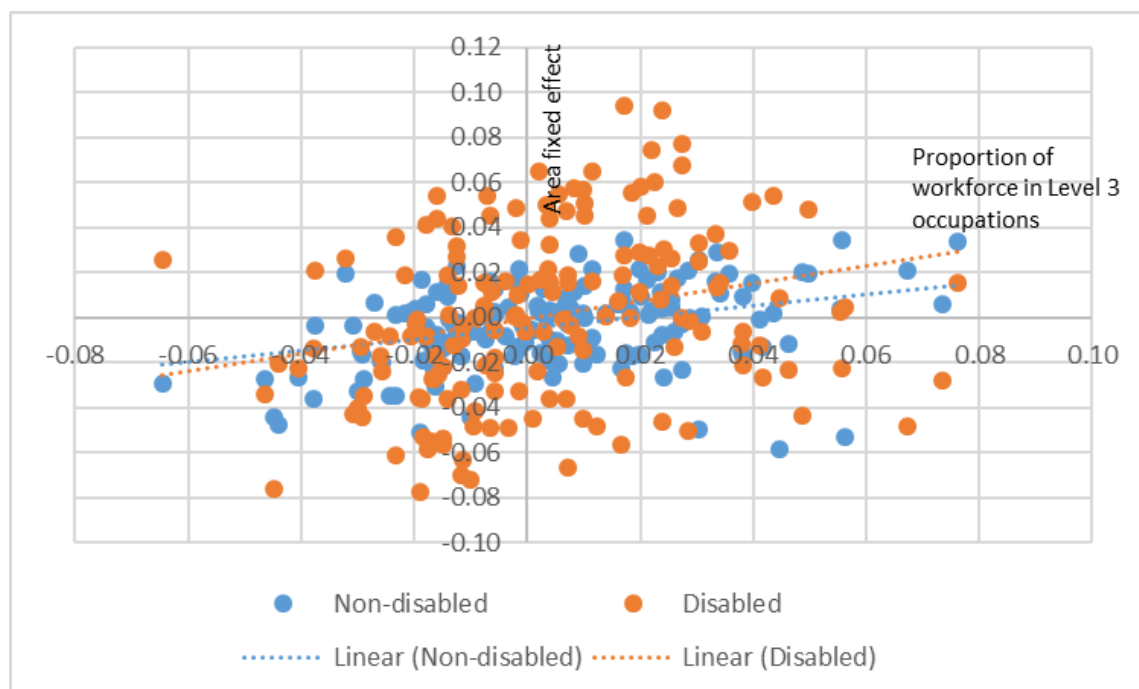


Figure A7: Relationship between employment share in Level 2 occupations (difference from GB average) and area fixed effects

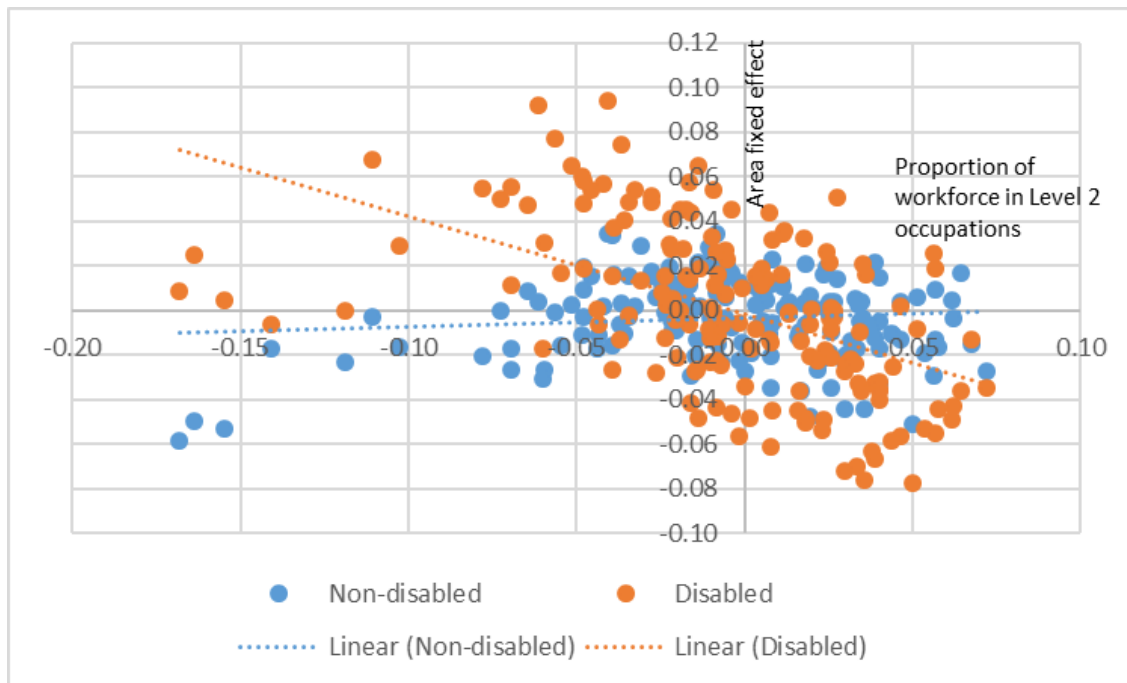


Figure A8: Relationship between employment share in Level 1 occupations (difference from GB average) and area fixed effects

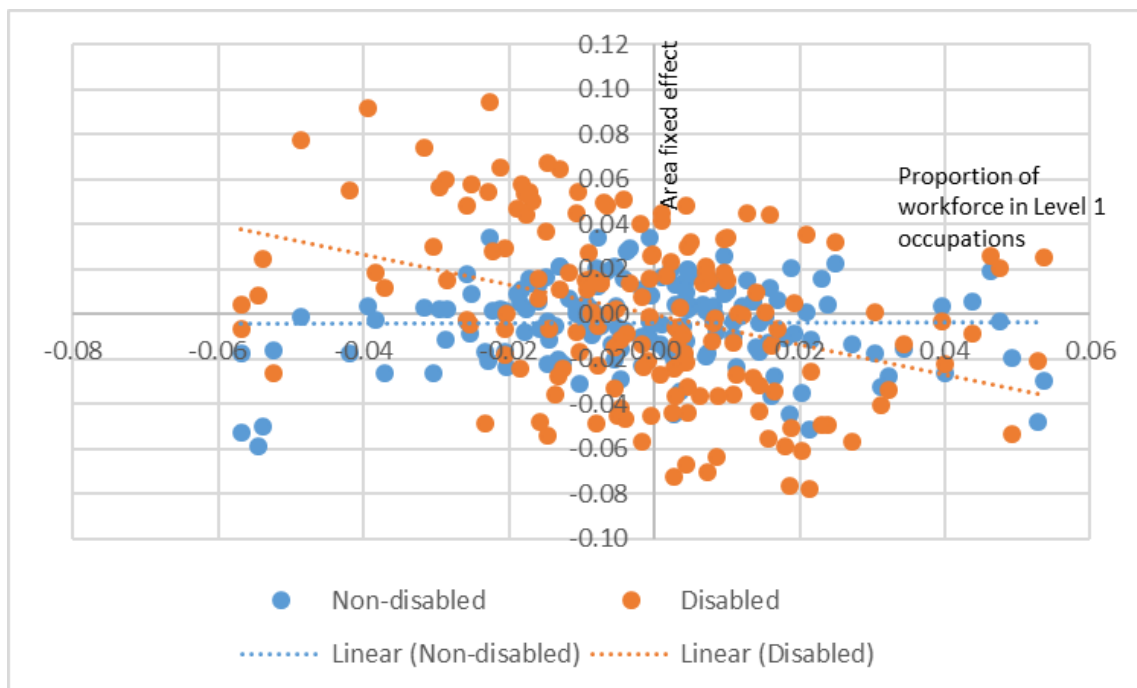


Figure A9: Relationship between GPs per head (difference from GB average) and area fixed effects

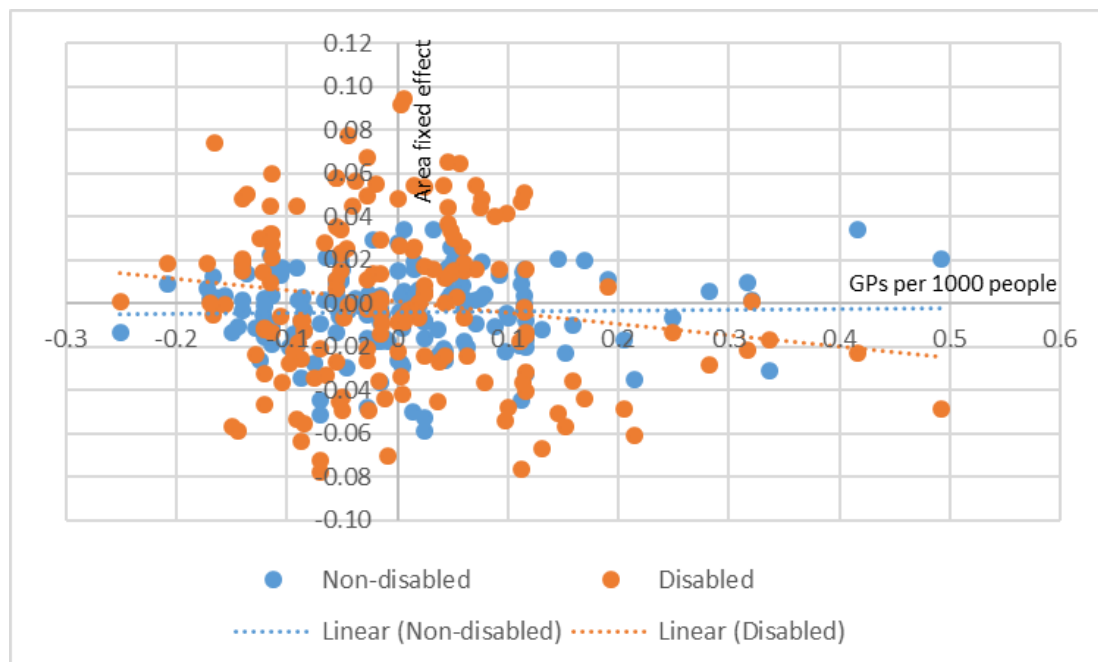


Figure A10: Relationship between Social Fabric Index (difference from GB average) and area fixed effects

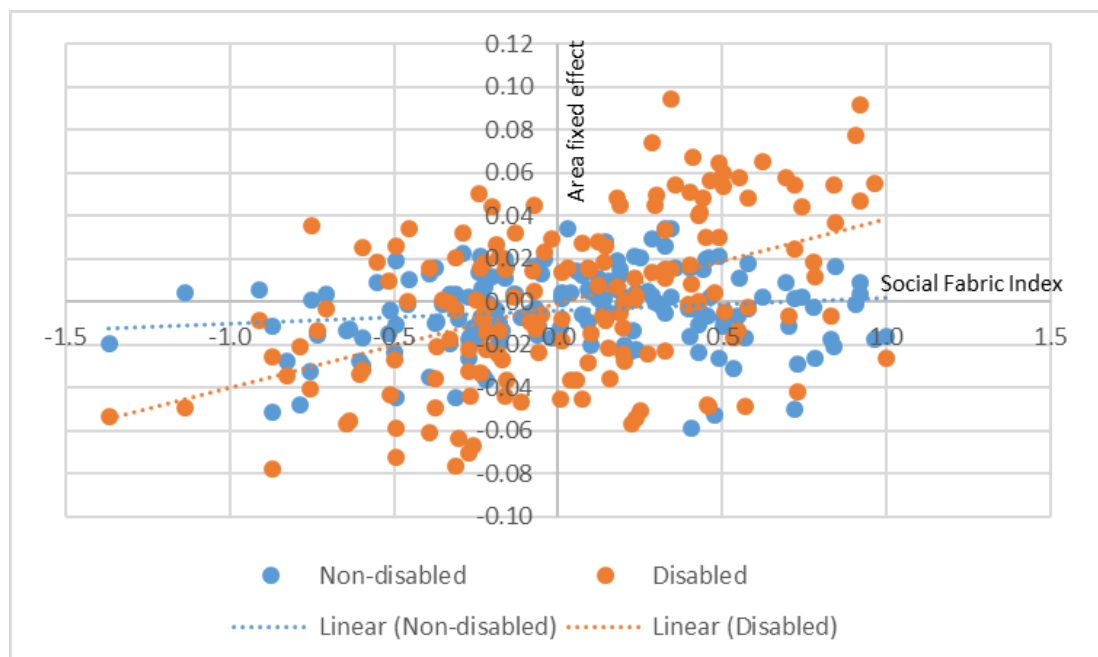


Figure A11: Relationship between Disability Confident (difference from GB average) and area fixed effects

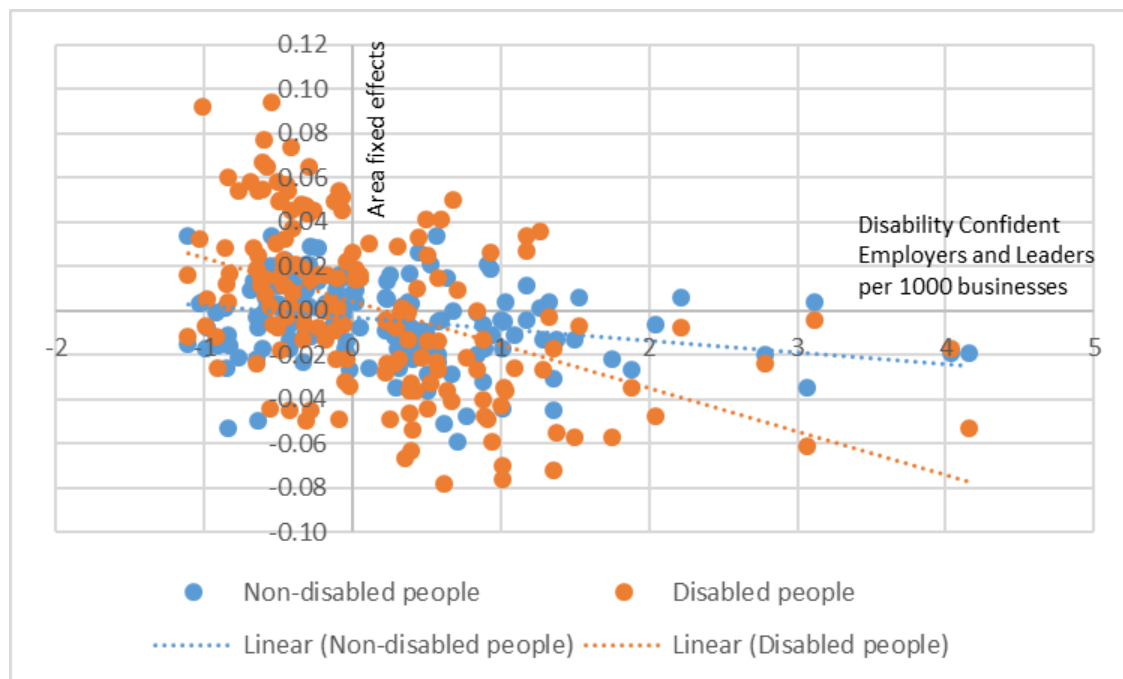


Figure A12: Relationship between Universal Credit sanction rate (difference from GB average) and area fixed effects

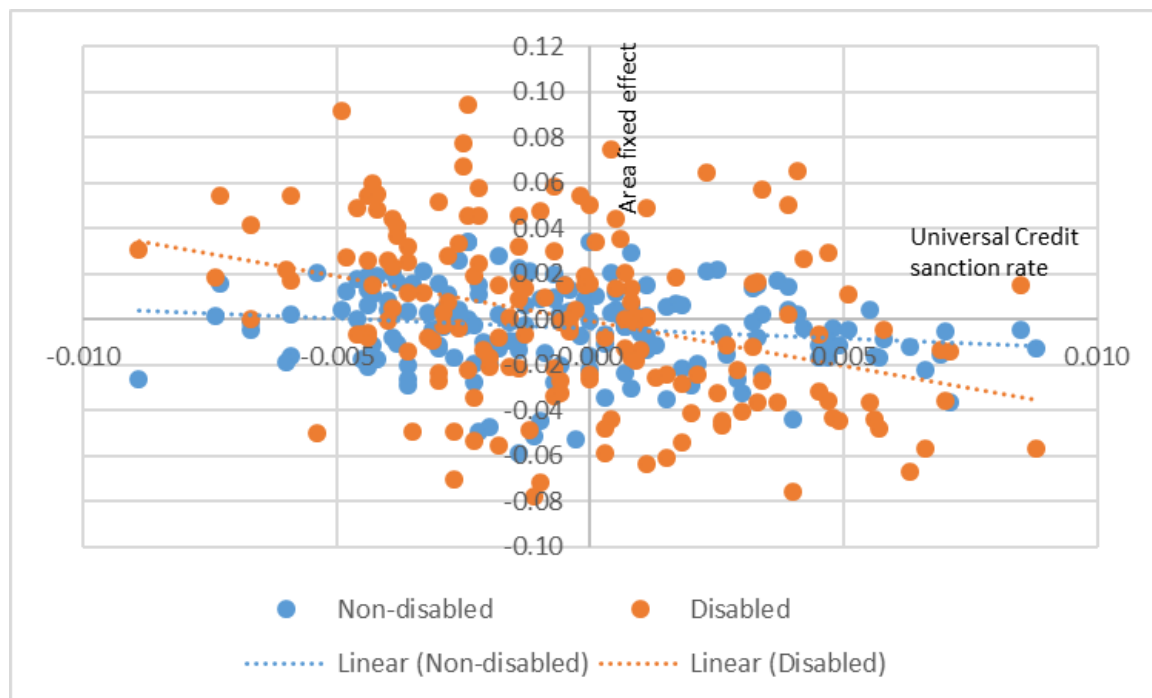


Figure A13: DEG quintiles by ITL3 areas in London

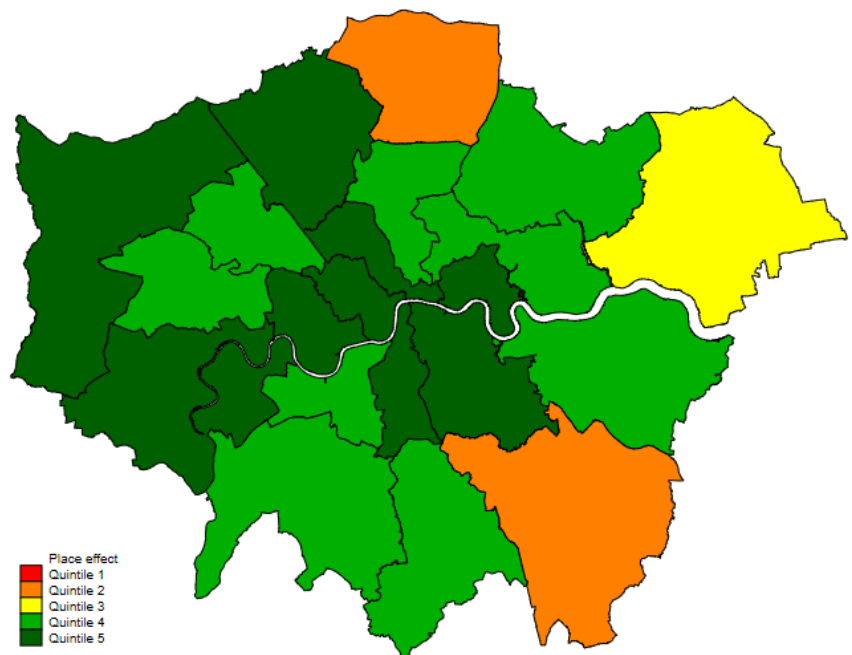
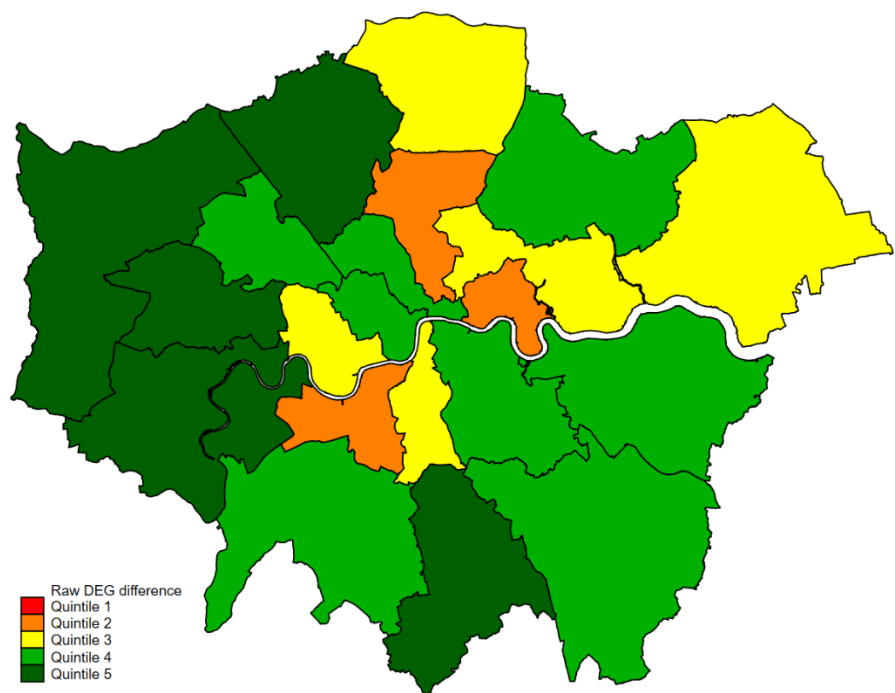


Table A1: Coefficients from individual level equations; main paper equation (2)

	Non-disabled people		Disabled people	
	$\hat{\beta}^0$	Std. error	$\hat{\beta}^1$	Std. error
Female	0.017***	(0.002)	0.082***	(0.004)
Age 25-34	0.292***	(0.002)	0.141***	(0.005)
Age 35-49	0.310***	(0.002)	0.096***	(0.004)
Age 50-64	0.209***	(0.002)	-0.002	(0.004)
Mixed ethnic groups	-0.045***	(0.005)	-0.035***	(0.012)
Indian	-0.063***	(0.003)	-0.039***	(0.009)
Pakistani	-0.146***	(0.004)	-0.117***	(0.008)
Black	-0.061***	(0.003)	-0.001	(0.009)
Other ethnic groups	-0.131***	(0.003)	-0.035***	(0.007)
Married	0.108***	(0.002)	0.292***	(0.004)
Female * Married	-0.096***	(0.002)	-0.178***	(0.005)
Children age 0-2	0.009***	(0.002)	0.046***	(0.008)
Female * Children age 0-2	-0.135***	(0.003)	-0.141***	(0.011)
Children age 2-4	0.001	(0.002)	0.055***	(0.007)
Female * Children age 2-4	-0.146***	(0.003)	-0.152***	(0.009)
Children age 5-9	0.009***	(0.001)	0.028***	(0.006)
Female * Children age 5-9	-0.085***	(0.002)	-0.073***	(0.007)
Children age 10-15	-0.025***	(0.002)	0.023***	(0.005)
Female * Children age 10-15	-0.034***	(0.002)	-0.048***	(0.006)
Level 4+ vocational	-0.017***	(0.002)	-0.050***	(0.005)
A-level	-0.072***	(0.002)	-0.109***	(0.005)
Level 3 vocational	0.015***	(0.002)	-0.042***	(0.005)
Apprenticeship	0.002	(0.002)	-0.127***	(0.006)
GCSEs A*-C	-0.085***	(0.001)	-0.164***	(0.004)
Level 2 vocational	-0.018***	(0.002)	-0.106***	(0.005)
GCSEs D-G	-0.072***	(0.003)	-0.201***	(0.007)
Level 1 vocational	-0.133***	(0.007)	-0.228***	(0.011)
Other qualification	-0.046***	(0.002)	-0.167***	(0.005)
No qualifications	-0.189***	(0.002)	-0.331***	(0.004)
Urban	0.004***	(0.001)	-0.007**	(0.004)
Mortgage	0.114***	(0.001)	0.141***	(0.003)
Part rent	0.109***	(0.006)	0.088***	(0.017)
Rented	0.033***	(0.002)	-0.081***	(0.003)
Rent free	0.037***	(0.006)	-0.028**	(0.013)
Partner unemployed	-0.069***	(0.004)	-0.122***	(0.009)
Partner inactive	-0.163***	(0.002)	-0.243***	(0.004)
N	791,401		195,455	

***p<0.01 **p<0.05 *p<0.1; Omitted categories: Age 16-24, White, Degree, Owned outright

Table A2 – Full decomposition results (main specification)

	DEG diff	Relative characteri- stics	Absolute characteri- stics	Unemp rate	GVA per hour worked	Manuf- acturing	Other product- ion	Know- ledge services	Level 4	Level 3	Level 2	GPs per 1000 pop	Social Fabric Index	DC per 1000 firms	UC sanction rate	Residual + Constant
UKC11 Hartlepool and Stockton-on-Tees	0.061	0.007	0.028	0.006	0.000	-0.001	0.000	0.009	-0.009	-0.004	0.014	-0.003	0.006	0.003	-0.002	0.007
UKC12 South Teesside	0.048	0.002	0.022	0.008	0.000	0.000	0.000	0.015	-0.025	-0.009	0.024	-0.003	0.011	0.001	-0.002	0.004
UKC13 Darlington	0.016	-0.004	0.011	0.003	0.000	0.000	0.000	0.004	-0.006	-0.003	0.011	-0.003	0.004	0.000	-0.003	0.002
UKC14 Durham CC	0.084	0.025	0.007	0.003	0.000	-0.003	0.000	0.015	-0.013	-0.005	0.015	0.000	0.003	0.002	-0.005	0.039
UKC21 Northumberland	-0.008	-0.005	0.005	0.001	0.000	0.000	0.000	0.014	-0.004	0.005	0.002	0.005	-0.002	0.001	-0.006	-0.024
UKC22 Tyneside	0.024	0.00	0.02	0.004	0.000	0.001	0.000	0.003	-0.001	-0.012	0.014	0.003	0.002	0.007	0.003	-0.021
UKC23 Sunderland	0.038	-0.001	0.034	0.006	0.000	-0.002	0.000	0.016	-0.029	-0.013	0.036	-0.003	0.011	0.004	-0.004	-0.016
UKD11 West Cumbria	-0.010	-0.007	0.008	-0.002	0.000	-0.008	0.000	0.031	-0.018	0.012	0.001	0.002	-0.001	-0.001	0.001	-0.030
UKD12 East Cumbria	-0.044	-0.020	-0.015	-0.006	0.000	0.000	0.000	0.020	-0.013	0.015	-0.008	0.002	-0.005	0.000	-0.004	-0.010
UKD33 Manchester	0.031	-0.01	0.04	0.005	0.000	0.004	0.000	-0.019	0.010	-0.022	-0.002	0.000	0.008	-0.001	-0.001	0.023
UKD34 Greater Manchester South West	0.010	0.000	0.001	0.001	0.000	0.002	0.000	-0.015	0.018	-0.010	-0.001	-0.004	-0.001	-0.002	-0.005	0.026
UKD35 Greater Manchester South East	0.015	0.000	-0.002	-0.001	0.000	-0.001	0.000	-0.006	0.004	-0.002	0.010	-0.004	-0.001	-0.002	0.001	0.019
UKD36 Greater Manchester North West	0.022	0.010	0.009	0.000	0.000	-0.002	0.000	0.012	-0.012	-0.005	0.016	0.000	0.000	-0.001	-0.005	-0.001
UKD37 Greater Manchester North East	0.002	-0.010	0.006	0.003	0.000	-0.001	0.000	0.005	-0.008	-0.007	0.015	-0.004	0.002	-0.001	-0.002	0.005
UKD41 Blackburn with Darwen	0.013	-0.023	0.009	0.003	0.000	-0.006	0.000	0.013	-0.014	-0.013	0.028	0.000	0.003	0.000	0.009	0.003
UKD42 Blackpool	0.078	0.008	0.019	0.004	0.001	0.001	0.000	0.030	-0.041	-0.001	0.031	-0.001	0.015	-0.001	-0.005	0.019
UKD44 Lancaster and Wyre	0.021	-0.006	-0.009	-0.004	0.000	0.002	0.000	0.004	0.001	0.001	0.002	-0.002	-0.002	-0.002	0.004	0.034
UKD45 Mid Lancashire	-0.004	0.002	-0.022	-0.004	0.000	-0.002	0.000	0.006	0.011	-0.002	-0.003	-0.007	-0.003	0.000	-0.001	0.023
UKD46 East Lancashire	0.060	0.004	0.004	0.001	0.000	-0.007	0.000	0.017	-0.014	-0.001	0.018	-0.003	0.002	0.000	0.004	0.033
UKD47 Chorley and West Lancashire	-0.005	0.010	0.002	-0.004	0.000	-0.001	0.000	0.002	0.012	-0.001	-0.008	-0.011	-0.004	-0.002	0.002	-0.002
UKD61 Warrington	-0.038	-0.012	-0.021	-0.004	0.000	0.001	0.000	-0.005	0.018	-0.009	-0.007	-0.002	-0.006	0.000	0.001	0.009
UKD62 Cheshire East	-0.041	-0.006	-0.028	-0.005	-0.001	-0.002	0.000	-0.013	0.034	0.000	-0.026	0.000	-0.010	-0.002	0.007	0.010
UKD63 Cheshire West and Chester	0.011	0.011	-0.011	-0.004	0.000	-0.002	0.000	-0.010	0.019	-0.004	-0.011	0.000	-0.011	0.001	0.003	0.028
UKD71 East Merseyside	0.079	0.008	0.034	0.001	0.000	-0.001	0.000	0.016	-0.022	-0.014	0.031	-0.002	0.006	0.002	0.008	0.014
UKD72 Liverpool	0.082	0.00	0.05	0.005	0.000	0.003	0.000	0.001	-0.002	-0.021	0.016	0.005	0.004	0.002	0.006	0.012

UKD73 Sefton	0.041	0.007	0.006	-0.003	0.000	0.003	0.000	0.000	-0.001	-0.009	0.019	-0.001	-0.003	0.002	0.011	0.009
UKD74 Wirral	0.048	0.007	0.011	-0.001	0.000	0.000	0.000	-0.001	0.006	-0.007	0.010	0.004	-0.004	0.000	0.003	0.020
UKE11 Kingston upon Hull, City of	0.057	-0.003	0.028	0.008	0.000	-0.005	0.000	0.031	-0.042	-0.009	0.026	-0.004	0.018	0.010	-0.004	0.001
UKE12 East Riding of Yorkshire	-0.031	-0.008	-0.024	-0.004	0.000	-0.001	0.000	0.010	0.008	0.009	-0.012	-0.007	-0.004	-0.002	-0.001	0.005
UKE13 North and North East Lincolnshire	0.052	0.002	0.008	0.002	0.000	-0.007	0.000	0.030	-0.029	-0.007	0.022	-0.007	0.008	0.003	0.014	0.011
UKE21 York	-0.102	-0.026	-0.028	-0.005	0.000	0.002	0.000	-0.016	0.023	-0.008	-0.014	0.005	-0.007	0.001	-0.011	-0.017
UKE22 North Yorkshire CC	-0.072	-0.013	-0.029	-0.006	0.000	0.001	0.000	0.007	0.005	0.024	-0.028	0.004	-0.003	-0.002	-0.007	-0.026
UKE31 Barnsley, Doncaster and Rotherham	0.033	0.006	0.014	0.004	0.000	-0.002	0.000	0.020	-0.024	-0.007	0.021	-0.004	0.011	0.002	0.002	-0.011
UKE32 Sheffield	-0.008	0.00	0.00	0.004	0.000	0.000	0.000	-0.008	0.013	-0.012	-0.001	0.005	0.004	0.010	-0.003	-0.016
UKE41 Bradford	-0.008	-0.015	0.006	0.005	0.000	-0.002	0.000	-0.005	-0.010	-0.008	0.014	0.002	0.006	0.001	0.005	-0.007
UKE42 Leeds	-0.054	-0.01	-0.01	0.000	0.000	0.001	0.000	-0.017	0.012	-0.006	-0.006	0.000	0.002	0.002	0.007	-0.028
UKE44 Calderdale and Kirklees	-0.024	0.002	-0.004	-0.001	0.001	-0.004	0.000	-0.004	0.004	0.000	0.000	-0.005	0.000	0.001	0.014	-0.026
UKE45 Wakefield	0.012	-0.002	0.009	0.003	0.000	-0.002	0.000	0.018	-0.022	-0.009	0.012	0.001	0.009	0.003	-0.001	-0.007
UKF11 Derby	0.006	-0.008	0.004	0.000	0.000	-0.006	0.000	0.012	-0.002	-0.012	0.008	0.001	0.002	0.003	-0.002	0.007
UKF12 East Derbyshire	0.023	0.016	0.011	-0.002	0.000	-0.003	0.000	0.017	-0.013	-0.004	0.012	0.001	0.006	0.001	-0.011	-0.008
UKF13 South and West Derbyshire	-0.002	-0.012	-0.024	-0.006	0.000	-0.006	0.000	0.008	0.005	0.005	-0.008	0.000	-0.003	-0.002	-0.003	0.043
UKF14 Nottingham	-0.015	-0.02	0.04	0.008	0.000	0.001	0.000	0.006	-0.012	-0.021	0.008	-0.001	0.010	0.001	-0.003	-0.026
UKF15 North Nottinghamshire	0.070	0.000	0.007	-0.002	0.000	-0.004	0.000	0.025	-0.019	-0.003	0.010	-0.002	0.004	0.000	-0.006	0.058
UKF16 South Nottinghamshire	-0.023	-0.001	-0.019	-0.001	0.000	0.000	0.000	-0.014	0.035	0.000	-0.021	-0.001	-0.009	-0.002	-0.005	0.015
UKF21 Leicester	-0.078	-0.023	0.001	0.004	0.000	-0.005	0.000	0.014	-0.021	-0.031	0.027	-0.002	0.007	0.000	-0.006	-0.045
UKF22 Leicestershire CC and Rutland	-0.104	-0.021	-0.037	-0.004	0.000	-0.003	0.000	-0.001	0.013	0.005	-0.012	-0.002	-0.005	-0.002	-0.004	-0.033
UKF24 West Northamptonshire	-0.069	-0.010	-0.026	-0.004	0.000	-0.001	0.000	-0.005	0.009	-0.002	-0.012	-0.005	-0.003	-0.001	-0.004	-0.004
UKF25 North Northamptonshire	-0.040	-0.009	-0.020	-0.002	0.001	-0.005	0.000	0.013	-0.009	-0.005	0.002	-0.005	0.003	-0.002	-0.002	0.001
UKF30 Lincolnshire	-0.023	-0.016	-0.009	-0.002	0.000	-0.002	0.000	0.022	-0.014	0.003	0.005	-0.007	0.004	0.000	-0.007	0.001
UKG11 Herefordshire, County of	-0.010	0.002	0.000	-0.004	0.001	-0.003	0.000	0.016	-0.007	0.018	-0.014	0.002	-0.007	-0.003	-0.001	-0.011
UKG12 Worcestershire	-0.009	0.013	-0.010	-0.004	0.000	-0.003	0.000	0.002	0.013	0.004	-0.012	0.002	-0.002	-0.001	0.000	-0.011
UKG13 Warwickshire	-0.055	0.002	-0.021	-0.007	0.000	-0.002	0.000	-0.006	0.020	-0.001	-0.020	0.000	-0.007	-0.001	0.002	-0.013

UKG21 Telford and Wrekin	0.005	0.001	0.008	-0.001	0.000	-0.007	0.000	0.010	-0.012	-0.006	0.011	-0.001	0.004	-0.001	-0.003	0.000
UKG22 Shropshire CC	0.000	-0.005	-0.009	-0.004	0.001	-0.001	0.000	0.010	0.003	0.017	-0.019	-0.001	-0.005	-0.002	0.001	0.014
UKG23 Stoke-on-Trent	0.030	0.000	0.018	0.003	0.000	-0.004	0.000	0.028	-0.039	-0.008	0.025	0.000	0.012	0.005	-0.007	-0.003
UKG24 Staffordshire CC	-0.003	-0.008	-0.013	-0.003	0.000	-0.003	0.000	0.011	0.003	0.002	-0.006	-0.005	0.000	-0.003	-0.007	0.028
UKG31 Birmingham	-0.031	-0.01	0.01	0.010	0.000	0.000	0.000	-0.010	0.005	-0.018	0.007	-0.001	0.002	0.000	0.012	-0.034
UKG32 Solihull	-0.014	-0.001	-0.007	-0.002	-0.001	0.000	0.000	-0.018	0.033	-0.005	-0.014	-0.001	-0.008	0.000	0.009	0.000
UKG33 Coventry	-0.029	-0.020	-0.002	0.000	0.000	-0.002	0.000	-0.005	-0.009	-0.019	0.009	0.000	0.003	0.000	0.005	0.011
UKG36 Dudley	-0.009	0.000	0.017	0.003	0.000	-0.004	0.000	0.010	-0.010	-0.001	0.017	0.005	0.002	-0.001	0.005	-0.053
UKG37 Sandwell	0.010	-0.017	0.031	0.007	0.000	-0.004	0.000	0.020	-0.036	-0.014	0.033	0.005	0.009	0.000	0.011	-0.037
UKG38 Walsall	0.035	0.005	0.017	0.004	0.000	-0.004	0.000	0.017	-0.020	-0.005	0.019	0.005	0.007	-0.001	0.007	-0.016
UKG39 Wolverhampton	0.041	-0.001	0.035	0.010	0.000	-0.003	0.000	0.014	-0.019	-0.014	0.019	0.005	0.010	0.001	0.005	-0.022
UKH11 Peterborough	-0.003	0.008	-0.002	0.002	0.000	-0.002	0.000	0.005	-0.018	-0.015	0.010	0.001	0.006	0.002	-0.007	0.008
UKH12 Cambridgeshire CC	-0.072	-0.002	-0.029	-0.005	0.000	-0.001	0.000	-0.031	0.040	-0.003	-0.027	0.001	-0.006	-0.001	-0.012	0.004
UKH14 Suffolk	-0.035	0.001	-0.005	-0.003	0.000	0.000	0.000	0.007	-0.007	0.010	-0.004	-0.004	0.000	-0.002	-0.002	-0.025
UKH15 Norwich and East Norfolk	-0.016	-0.007	0.016	-0.001	0.000	0.001	0.000	-0.002	-0.008	0.000	0.003	-0.002	0.005	0.002	0.000	-0.025
UKH16 North and West Norfolk	-0.014	-0.004	-0.003	-0.003	0.000	-0.002	0.000	0.023	-0.023	0.017	-0.001	-0.002	0.001	-0.003	-0.007	-0.007
UKH17 Breckland and South Norfolk	-0.013	0.004	-0.013	-0.004	0.000	-0.002	0.000	0.006	-0.008	0.011	-0.005	-0.002	0.000	-0.002	-0.007	0.007
UKH21 Luton	-0.067	-0.013	-0.028	0.002	0.000	0.000	0.000	0.007	-0.021	-0.018	0.016	-0.006	0.004	-0.002	0.001	-0.008
UKH23 Hertfordshire	-0.088	-0.002	-0.029	-0.004	0.000	0.002	0.000	-0.030	0.036	0.005	-0.025	-0.002	-0.007	-0.002	0.005	-0.036
UKH24 Bedford	0.012	0.026	-0.012	-0.004	0.000	0.001	0.000	-0.010	0.015	-0.003	-0.015	-0.006	-0.005	-0.001	-0.001	0.027
UKH25 Central Bedfordshire	-0.086	-0.006	-0.047	-0.007	0.000	0.000	0.000	-0.010	0.017	0.013	-0.017	-0.006	-0.009	-0.002	-0.008	-0.004
UKH31 Southend-on-Sea	-0.002	-0.001	0.003	0.000	0.001	0.002	0.000	-0.030	0.003	0.002	0.003	0.004	0.005	-0.002	0.005	0.002
UKH32 Thurrock	-0.027	-0.012	-0.003	0.000	0.000	0.002	0.000	0.002	-0.025	-0.006	0.028	-0.009	0.007	-0.001	0.000	-0.009
UKH34 Essex Haven Gateway	-0.036	-0.009	-0.013	-0.002	0.000	0.001	0.000	-0.005	-0.003	0.009	0.000	-0.008	0.002	-0.002	0.003	-0.010
UKH35 West Essex	-0.036	-0.003	-0.005	-0.004	0.000	0.002	0.000	-0.017	0.013	0.010	-0.012	-0.003	-0.002	-0.003	-0.005	-0.007
UKH36 Heart of Essex	-0.109	-0.003	-0.032	-0.004	0.000	0.002	0.000	-0.034	0.027	0.011	-0.022	-0.007	-0.005	-0.002	0.001	-0.040
UKH37 Essex Thames Gateway	-0.040	0.009	-0.011	-0.004	0.000	0.001	0.000	-0.019	-0.009	0.005	0.013	-0.006	0.003	-0.002	0.006	-0.026
UKI31 Camden and City of London	-0.046	-0.007	0.037	0.000	-0.002	0.007	0.000	-0.103	0.103	0.015	-0.090	0.001	-0.011	-0.003	-0.004	0.011
UKI32 Westminster	-0.035	0.017	0.018	0.003	-0.002	0.006	0.000	-0.101	0.098	0.022	-0.092	0.001	-0.006	0.001	-0.002	0.003

UKI33 Kensington & Chelsea and Hammersmith & Fulham	-0.021	0.009	0.029	0.001	-0.001	0.006	0.000	-0.098	0.086	0.027	-0.085	0.001	-0.007	-0.003	-0.001	0.015
UKI34 Wandsworth	0.030	0.038	0.005	-0.004	0.000	0.006	0.000	-0.089	0.088	0.019	-0.077	0.003	-0.012	-0.004	-0.008	0.065
UKI41 Hackney and Newham	-0.005	-0.003	0.018	0.003	0.000	0.006	0.000	-0.036	0.011	-0.001	-0.026	-0.001	0.003	-0.002	0.001	0.021
UKI42 Tower Hamlets	0.000	0.028	0.020	0.008	-0.003	0.006	0.000	-0.091	0.058	0.010	-0.057	-0.001	0.000	0.000	0.008	0.015
UKI43 Haringey and Islington	0.026	0.024	0.027	0.001	-0.001	0.006	0.000	-0.074	0.063	0.013	-0.066	0.002	-0.007	-0.002	0.001	0.037
UKI44 Lewisham and Southwark	-0.023	0.014	0.015	0.002	0.000	0.007	0.000	-0.053	0.044	0.002	-0.041	-0.001	-0.005	0.001	0.000	-0.007
UKI45 Lambeth	-0.021	0.029	0.023	0.002	-0.001	0.007	0.000	-0.064	0.055	0.014	-0.061	-0.001	-0.006	-0.003	-0.004	-0.009
UKI51 Bexley and Greenwich	-0.029	-0.002	-0.008	0.002	-0.001	0.005	0.000	-0.029	0.008	-0.002	0.000	-0.001	-0.005	-0.002	0.008	0.000
UKI52 Barking & Dagenham and Havering	-0.003	-0.007	0.004	0.003	-0.001	0.004	0.000	-0.015	-0.016	-0.003	0.023	-0.001	0.001	-0.003	0.006	0.000
UKI53 Redbridge and Waltham Forest	-0.053	-0.004	-0.031	0.002	0.000	0.005	0.000	-0.033	0.022	-0.005	-0.011	-0.001	-0.005	-0.003	-0.002	0.013
UKI54 Enfield	-0.008	-0.011	0.002	0.002	-0.001	0.005	0.000	-0.024	0.017	-0.002	-0.006	0.002	-0.003	-0.003	0.000	0.014
UKI61 Bromley	-0.030	0.005	-0.042	-0.002	-0.001	0.005	0.000	-0.055	0.042	0.009	-0.023	-0.001	-0.015	-0.004	0.000	0.053
UKI62 Croydon	-0.065	-0.018	-0.033	0.001	-0.001	0.006	0.000	-0.030	0.020	-0.003	0.000	0.003	-0.006	-0.002	-0.003	0.002
UKI63 Merton, Kingston upon Thames and Sutton	-0.053	0.013	-0.043	-0.001	0.000	0.005	0.000	-0.042	0.045	0.004	-0.028	0.003	-0.011	-0.003	-0.004	0.009
UKI71 Barnet	-0.078	0.000	-0.037	0.000	0.000	0.006	0.000	-0.049	0.057	0.002	-0.040	0.002	-0.012	-0.003	-0.006	0.003
UKI72 Brent	-0.044	-0.017	-0.012	0.004	-0.001	0.004	0.000	-0.019	0.008	-0.003	-0.014	0.001	0.000	-0.004	-0.007	0.014
UKI73 Ealing	-0.061	-0.001	-0.025	0.002	-0.001	0.004	0.000	-0.031	0.029	0.001	-0.032	0.001	-0.006	-0.003	-0.010	0.010
UKI74 Harrow and Hillingdon	-0.101	-0.005	-0.033	-0.001	-0.001	0.004	0.000	-0.024	0.026	-0.007	-0.007	0.001	-0.008	-0.003	0.000	-0.044
UKI75 Hounslow and Richmond upon Thames	-0.094	0.011	-0.028	-0.001	-0.002	0.005	0.000	-0.050	0.054	0.003	-0.044	0.002	-0.012	-0.003	-0.007	-0.021
UKJ11 Berkshire	-0.109	-0.006	-0.039	-0.005	-0.001	0.002	0.000	-0.037	0.041	0.001	-0.030	0.002	-0.009	-0.003	0.007	-0.032
UKJ12 Milton Keynes	-0.045	-0.007	-0.019	-0.001	-0.001	0.001	0.000	-0.025	0.018	-0.010	-0.009	-0.006	-0.003	-0.002	-0.012	0.032
UKJ13 Buckinghamshire CC	-0.146	-0.003	-0.053	-0.005	0.000	0.001	0.000	-0.031	0.044	0.012	-0.035	0.000	-0.013	-0.004	-0.008	-0.050
UKJ14 Oxfordshire	-0.073	0.004	-0.037	-0.006	0.000	0.001	0.000	-0.036	0.044	0.004	-0.036	0.005	-0.013	-0.002	-0.002	0.001
UKJ21 Brighton and Hove	-0.069	-0.005	-0.005	0.002	0.000	0.005	0.000	-0.041	0.038	0.012	-0.034	-0.005	-0.008	-0.001	-0.015	-0.012
UKJ22 East Sussex CC	-0.015	-0.005	-0.014	-0.003	0.001	0.003	0.000	-0.006	0.006	0.015	-0.011	-0.002	-0.003	-0.001	-0.008	0.013
UKJ25 West Surrey	-0.118	-0.002	-0.042	-0.005	-0.001	0.003	0.000	-0.042	0.053	0.009	-0.040	-0.001	-0.014	-0.003	-0.007	-0.028
UKJ26 East Surrey	-0.117	0.003	-0.040	-0.006	-0.001	0.004	0.000	-0.042	0.044	0.014	-0.033	-0.002	-0.013	-0.003	-0.004	-0.040
UKJ27 West Sussex (South West)	-0.011	0.003	-0.022	-0.006	0.000	0.001	0.000	0.001	0.004	0.010	-0.007	-0.002	-0.004	-0.003	-0.006	0.020

UKJ28 West Sussex (North East)	-0.089	-0.008	-0.033	-0.005	0.000	0.003	0.000	-0.017	0.017	0.004	-0.011	-0.002	-0.008	-0.002	-0.004	-0.022
UKJ31 Portsmouth	-0.040	-0.009	-0.004	0.000	0.000	0.001	0.000	0.007	-0.004	-0.001	-0.003	-0.005	0.006	0.000	-0.002	-0.027
UKJ32 Southampton	-0.055	-0.015	-0.003	0.001	-0.001	0.001	0.000	-0.003	-0.003	-0.011	0.004	-0.002	0.010	0.002	0.001	-0.036
UKJ34 Isle of Wight	0.001	-0.005	-0.005	0.000	0.000	0.000	0.000	0.019	-0.012	0.021	-0.010	-0.002	0.002	0.002	-0.005	-0.003
UKJ35 South Hampshire	-0.043	-0.007	-0.032	-0.004	0.000	-0.001	0.000	0.000	0.005	0.008	-0.006	-0.002	-0.003	-0.003	0.001	0.000
UKJ36 Central Hampshire	-0.090	-0.006	-0.033	-0.006	0.000	0.001	0.000	-0.019	0.031	0.010	-0.028	-0.002	-0.010	-0.003	-0.001	-0.023
UKJ37 North Hampshire	-0.107	-0.006	-0.039	-0.007	-0.001	0.001	0.000	-0.025	0.027	0.009	-0.024	0.000	-0.006	-0.003	-0.004	-0.030
UKJ41 Medway	-0.065	-0.009	-0.014	0.003	0.000	0.002	0.000	0.004	-0.017	0.002	0.011	-0.005	0.002	-0.001	-0.010	-0.033
UKJ43 Kent Thames Gateway	-0.063	-0.002	-0.030	-0.001	0.000	0.001	0.000	0.003	-0.011	0.002	0.007	-0.005	0.001	-0.004	-0.006	-0.018
UKJ44 East Kent	-0.007	0.002	-0.011	0.000	0.000	0.003	0.000	-0.001	-0.003	0.003	0.001	-0.005	0.002	-0.002	-0.004	0.006
UKJ45 Mid Kent	-0.058	-0.019	-0.022	-0.003	0.000	0.002	0.000	0.000	0.010	0.009	-0.014	-0.005	-0.002	-0.003	-0.008	-0.003
UKJ46 West Kent	-0.098	0.001	-0.026	-0.004	-0.001	0.003	0.000	-0.038	0.032	0.011	-0.028	-0.005	-0.008	-0.003	-0.007	-0.026
UKK11 Bristol, City of	-0.064	0.01	-0.02	0.000	0.000	0.003	0.000	-0.032	0.030	-0.006	-0.021	0.004	-0.007	0.000	-0.006	-0.017
UKK12 Bath and North East Somerset, North Somerset and South Gloucestershire	-0.085	-0.006	-0.035	-0.004	0.000	0.001	0.000	-0.014	0.019	0.002	-0.011	0.004	-0.011	-0.002	-0.007	-0.021
UKK13 Gloucestershire	-0.083	-0.009	-0.029	-0.004	0.000	-0.001	0.000	-0.008	0.011	0.006	-0.010	0.003	-0.008	-0.002	0.004	-0.036
UKK14 Swindon	-0.056	0.003	-0.024	-0.002	-0.001	-0.002	0.000	-0.011	-0.001	-0.007	0.001	0.002	0.002	-0.002	0.001	-0.014
UKK15 Wiltshire	-0.049	0.000	-0.027	-0.005	0.000	0.000	0.000	-0.005	0.013	0.016	-0.023	0.002	-0.012	-0.002	-0.006	-0.001
UKK21 Bournemouth and Poole	-0.053	-0.014	-0.012	-0.004	0.000	0.001	0.000	-0.010	0.005	0.006	-0.007	0.003	-0.002	-0.002	-0.002	-0.015
UKK22 Dorset CC	-0.094	-0.013	-0.027	-0.005	0.000	0.000	0.000	0.006	0.003	0.021	-0.020	0.003	-0.011	-0.002	-0.010	-0.040
UKK23 Somerset	-0.052	-0.004	-0.029	-0.004	0.000	-0.002	0.000	0.012	-0.006	0.013	-0.007	0.003	-0.003	-0.001	-0.007	-0.019
UKK30 Cornwall and Isles of Scilly	-0.029	-0.015	-0.013	-0.003	0.001	0.001	0.000	0.018	-0.017	0.027	-0.015	0.003	-0.004	-0.002	-0.005	-0.005
UKK41 Plymouth	0.003	-0.005	0.002	0.000	0.000	0.000	0.000	0.016	-0.019	0.004	0.011	0.005	0.004	0.008	-0.004	-0.018
UKK42 Torbay	-0.005	-0.003	-0.001	0.000	0.001	0.003	0.000	0.022	-0.024	0.014	0.005	0.005	0.002	-0.001	-0.001	-0.026
UKK43 Devon CC	-0.074	-0.008	-0.028	-0.005	0.000	0.002	0.000	0.008	-0.002	0.020	-0.017	0.005	-0.006	-0.001	-0.005	-0.037
UKL11 Isle of Anglesey	-0.020	-0.007	-0.008	-0.001	0.001	0.002	0.000	0.019	-0.011	0.019	-0.007	-0.005	0.000	-0.004	0.004	-0.023
UKL12 Gwynedd	0.004	-0.004	-0.001	-0.001	0.001	0.003	0.000	0.012	-0.011	0.020	-0.015	-0.005	-0.003	-0.004	0.005	0.007
UKL13 Conwy and Denbighshire	0.039	0.001	0.000	-0.003	0.001	0.002	0.000	0.016	-0.006	0.012	-0.004	-0.005	0.001	0.000	0.004	0.019
UKL14 South West Wales	-0.005	-0.006	-0.009	-0.001	0.001	0.002	0.000	0.017	-0.016	0.022	-0.008	-0.006	0.000	0.000	-0.005	0.004

UKL15 Central Valleys	0.084	0.014	0.023	0.003	0.000	-0.003	0.000	0.019	-0.021	-0.008	0.021	-0.006	0.006	0.002	0.000	0.033
UKL16 Gwent Valleys	0.060	0.007	0.013	0.003	0.000	-0.006	0.000	0.022	-0.027	-0.008	0.028	-0.004	0.008	0.003	-0.003	0.024
UKL17 Bridgend and Neath Port Talbot	0.100	0.023	0.023	0.001	0.000	-0.004	0.000	0.020	-0.016	-0.005	0.018	-0.004	0.003	0.000	0.002	0.038
UKL18 Swansea	-0.046	-0.012	-0.005	0.003	0.000	0.002	0.000	0.003	0.000	-0.011	0.011	-0.004	0.002	0.000	0.000	-0.035
UKL21 Monmouthshire and Newport	-0.003	0.006	-0.017	-0.002	0.000	-0.001	0.000	0.004	0.009	-0.006	-0.008	-0.004	0.000	-0.002	0.001	0.014
UKL22 Cardiff and Vale of Glamorgan	-0.011	0.00	-0.01	0.001	0.000	0.003	0.000	-0.017	0.027	-0.008	-0.010	-0.004	-0.004	0.001	-0.001	0.017
UKL23 Flintshire and Wrexham	0.020	-0.002	-0.011	-0.003	0.000	-0.008	0.000	0.016	-0.014	-0.002	0.016	-0.005	0.003	0.000	-0.001	0.033
UKL24 Powys	-0.008	-0.009	-0.016	-0.006	0.001	0.000	0.000	0.021	-0.017	0.037	-0.024	0.002	-0.001	-0.004	0.000	0.007
UKM50 Aberdeen City and Aberdeenshire	0.004	-0.001	0.004	-0.003	0.000	0.001	0.000	0.006	0.004	0.012	-0.016	0.009	-0.002	-0.002	-0.005	-0.003
UKM61 Caithness & Sutherland and Ross & Cromarty	-0.003	-0.044	-0.026	0.000	0.000	0.002	0.000	0.024	-0.022	0.032	-0.010	0.022	-0.007	-0.002	-0.002	0.029
UKM62 Inverness & Nairn and Moray, Badenoch & Strathspey	0.070	0.006	0.003	-0.004	0.000	0.001	0.000	0.030	-0.021	0.024	-0.007	0.008	0.001	-0.001	0.001	0.030
UKM63 Lochaber, Skye & Lochalsh, Arran & Cumbrae and Argyll & Bute	0.022	-0.012	0.001	-0.006	0.000	0.004	0.000	0.032	-0.030	0.035	-0.016	0.013	-0.002	-0.001	0.003	0.001
UKM64 Na h-Eileanan Siar (Western Isles)	0.006	-0.016	-0.033	-0.005	0.000	0.004	0.000	0.022	-0.018	0.027	-0.007	0.019	-0.005	0.000	-0.004	0.022
UKM71 Angus and Dundee City	0.050	0.005	0.021	0.002	0.000	0.001	0.000	0.017	-0.014	0.002	0.006	0.007	0.004	0.000	0.008	-0.009
UKM72 Clackmannanshire and Fife	0.036	0.005	0.000	-0.001	0.000	-0.001	0.000	0.007	-0.011	0.005	0.006	0.002	-0.001	-0.002	0.008	0.018
UKM73 East Lothian and Midlothian	0.012	0.013	0.000	-0.004	0.000	0.004	0.000	-0.004	-0.011	0.007	0.008	0.015	-0.004	0.000	0.002	-0.014
UKM75 Edinburgh, City of	-0.017	-0.002	0.001	-0.003	-0.001	0.005	0.000	-0.047	0.049	-0.007	-0.034	0.015	-0.008	0.003	0.001	0.011
UKM76 Falkirk	0.075	0.011	0.026	-0.001	0.000	-0.002	0.000	0.020	-0.021	0.004	0.016	0.004	-0.001	0.002	0.009	0.010
UKM77 Perth & Kinross and Stirling	-0.004	0.001	-0.010	-0.003	0.000	0.003	0.000	0.010	0.007	0.013	-0.022	0.011	-0.008	0.001	0.002	-0.008
UKM78 West Lothian	0.072	0.015	0.008	-0.002	0.000	-0.002	0.000	0.001	-0.016	-0.006	0.019	0.005	-0.002	0.001	0.005	0.047
UKM81 East Dunbartonshire, West Dunbartonshire and Helensburgh & Lomond	0.059	0.009	0.021	-0.002	0.000	0.002	0.000	-0.001	0.008	0.006	-0.002	0.009	-0.009	0.002	0.009	0.006
UKM82 Glasgow City	0.068	0.00	0.04	0.004	0.000	0.003	0.000	-0.005	0.000	-0.011	0.002	0.010	0.005	0.007	0.002	0.005
UKM83 Inverclyde, East Renfrewshire and Renfrewshire	0.071	0.006	0.025	0.000	0.000	0.001	0.000	0.001	0.006	-0.004	0.007	0.005	-0.007	0.005	0.000	0.027

UKM84 North Lanarkshire	0.111	0.020	0.040	0.000	0.000	0.000	0.000	0.019	-0.025	-0.009	0.032	-0.004	0.001	0.000	0.006	0.031
UKM91 Scottish Borders	0.040	-0.001	0.012	-0.003	0.000	-0.001	0.000	0.021	-0.010	0.019	-0.013	0.014	-0.003	-0.001	-0.001	0.006
UKM92 Dumfries & Galloway	0.091	0.008	0.014	-0.004	0.000	0.000	0.000	0.037	-0.033	0.014	0.007	0.007	-0.004	-0.002	-0.009	0.056
UKM93 East Ayrshire and North Ayrshire mainland	0.103	0.017	0.034	0.007	0.000	-0.001	0.000	0.028	-0.024	0.004	0.018	0.006	0.003	0.004	0.010	-0.002
UKM94 South Ayrshire	0.076	0.020	0.024	-0.001	0.000	0.000	0.000	0.024	-0.004	0.009	-0.003	0.007	-0.004	0.004	0.011	-0.010
UKM95 South Lanarkshire	0.055	0.014	0.014	-0.003	0.000	0.000	0.000	0.011	-0.006	0.001	0.015	0.001	-0.005	0.000	0.002	0.009

A3. Supplementary Analysis – job quality and public transport

In the main paper we measured the composition of labour demand in an area via the share of the employed population working in each industry sector and occupation level. In this supplementary analysis, we instead consider job quality by measuring the extent to which jobs are: (i) suitable for homeworking; (ii) provide flexibility for workers; and (iii) allow workers to exercise autonomy in their work. As well as measuring labour demand in a different way, these measures can also be thought of as proxies for employer policies, as an alternative to our main analysis of the Disability Confident index. There is some evidence to suggest that working from home can improve the employment prospects of disabled people (Edwards and Field-Hendrey, 2002) but this has been questioned by more recent evidence showing that disabled people are less likely to work from home and do not disproportionately benefit from doing so (Hoque and Bacon, 2021). There is also evidence that access to flexible working (Chandola and Rouxel, 2021; Anand and Sevak, 2017) and allowing workers more discretion over how to perform their work tasks (Jones and Sloane, 2010) can reduce employment barriers for disabled people.

In this analysis we replace the industry and occupation variables used in the main analysis with continuous scores to denote ability to work from home, access to flexible working arrangements and autonomy at work (see Table A3.1 for definitions and data sources). The coefficients reveal that ability to work from home has a positive and significant effect on the employment of disabled people and a slight negative and marginally significant effect on the employment of non-disabled people. This is the expected direction for disabled people, indicating that they have a higher probability of being employed in areas with a high volume of jobs that can be done at home. The flexibility coefficient is negative in both equations, but nearly three times larger for disabled people. This means that living in an area with a high concentration of jobs offering flexible working reduces a disabled person's chances of being employed (conditional on all other individual and area level characteristics). The coefficients pertaining to autonomy at work are insignificant for both groups.

Table A3.2 shows a summary of the decomposition. In this specification, area level characteristics together account for a standard deviation of 2.4pp (slightly lower than in the main decomposition). The largest component is ability to work from home with a standard deviation of 2.0pp. Eliminating all variation in the ability to work from home index would reduce the variation in the overall DEG from 5.3pp to 4.8pp. In contrast, eliminating all variation in the availability of flexible working would increase the DEG variation to 5.5pp.

We conducted further supplementary analysis to include quality of public transport as an additional area level variable to those listed in Table 1 of the main text. Only ITL3 areas in England are included due to the unavailability of comparable data for Scotland and Wales. Evidence on the effects of transportation on the employment of disabled people is sparse. While many disabled people cite lack of transport as a barrier to employment (Anand and Sevak, 2017), availability of public transport is found not to influence employment outcomes (Farber and Paez, 2010).

We estimate the average journey times from home to the nearest large employment centre (of 5,000 or more jobs) using public transport, both in absolute terms and relative to making the same journey by car (Department for Transport, 2021). We also considered journey times to smaller employment centres and the results are essentially the same as those reported here. The coefficient for public transport is insignificant for both disabled people and non-disabled people, when adding this variable to vector **Z** in equation (3). A summary of the decomposition is shown in Table A3.3, revealing that the standard deviation of the public transport component is very small (0.1pp). As a further check we also explored the commuting times using data from the UK Household Longitudinal Study (University of Essex, 2021). This revealed that there is no association between commuting times and health or disability, suggesting that transport is no more a barrier to accessing work for disabled people than it is for non-disabled people.

Table A3.1: Job quality and workplace accommodations variables – definitions and data sources.

Variable	Source	Description
Homeworking index	2011 Census sourced from NOMIS (Office for National Statistics, 2011) combined with ONS data on ‘ability to homework’ ¹	Each four digit SOC code has an ‘ability to homework’ index where higher scores denote the occupation as being less suitable for homeworking. This information was used to calculate a weighted average homeworking score for each ITL3 area based on the concentration of occupations in that area.
Flexibility index	2011 Census sourced from NOMIS (Office for National Statistics, 2011) combined with UKHLS (University of Essex, 2021)	For each employed individual in Wave 10 of The UK Household Longitudinal Study (UKHLS), we count how many flexible working arrangements are available to them (maximum ten) and also observe the industry and occupation in which they work. This information was used to calculate a weighted average flexibility score for each ITL3 area based on the concentration of industry and occupation combinations in that area.
Autonomy index	2011 Census sourced from NOMIS (Office for National Statistics, 2011) combined with UKHLS (University of Essex, 2021)	For each employed individual in Wave 10 of UKHLS, we count how many areas of work in which they have at least some autonomy (maximum five) and also observe the industry and occupation in which they work. This information was used to calculate a weighted average autonomy score for each ITL3 area based on the concentration of industry and occupation combinations in that area.

¹www.ons.gov.uk/employmentandlabourmarket/peopleinwork/employmentandemployeetypes/articles/whichjobscanbedonefromhome/2020-07-21

Table A3.2: Summary of components - supplementary analysis with job quality indices

	Standard deviation	Minimum	10 th percentile	90 th percentile	Maximum
DEG difference	0.053	-0.146	-0.084	0.060	0.111
Components:					
<i>Relative characteristics</i>	0.011	-0.044	-0.015	0.013	0.038
<i>Absolute characteristics</i>	0.022	-0.053	-0.032	0.025	0.049
<i>Unemployment rate</i>	0.002	-0.004	-0.003	0.002	0.006
<i>GVA per hour worked</i>	0.003	-0.014	-0.004	0.002	0.005
<i>Homeworking index</i>	0.020	-0.074	-0.026	0.018	0.027
<i>Flexible working index</i>	0.006	-0.014	-0.007	0.009	0.016
<i>Autonomy at work index</i>	0.003	-0.008	-0.004	0.003	0.005
<i>GPs per head</i>	0.006	-0.012	-0.006	0.006	0.024
<i>Social Fabric Index</i>	0.002	-0.004	-0.002	0.002	0.005
<i>Disability Confident</i>	0.003	-0.004	-0.003	0.002	0.010
<i>Sanction rates</i>	0.007	-0.018	-0.009	0.009	0.018
<i>All area level characteristics</i>	0.024	-0.087	-0.041	0.022	0.041
<i>Residual + constant</i>	0.024	-0.052	-0.033	0.032	0.062
DEG difference if component were reduced to zero:					
<i>Relative characteristics</i>	0.048	-0.143	-0.078	0.056	0.091
<i>Absolute characteristics</i>	0.038	-0.093	-0.057	0.042	0.077
<i>Unemployment rate</i>	0.052	-0.143	-0.082	0.060	0.111
<i>GVA per hour worked</i>	0.052	-0.145	-0.083	0.060	0.112
<i>Homeworking index</i>	0.048	-0.121	-0.076	0.062	0.105
<i>Flexible working index</i>	0.055	-0.149	-0.089	0.065	0.114
<i>Autonomy at work index</i>	0.051	-0.140	-0.082	0.059	0.108
<i>GPs per head</i>	0.052	-0.146	-0.083	0.062	0.116
<i>Social Fabric Index</i>	0.052	-0.142	-0.082	0.060	0.110
<i>Disability Confident</i>	0.051	-0.142	-0.082	0.059	0.111
<i>Sanction rates</i>	0.050	-0.136	-0.076	0.063	0.103
<i>All area level characteristics</i>	0.042	-0.096	-0.063	0.054	0.105

NOTE: This table is comparable to Table 3 in main paper.

Table A3.3: Summary of components - supplementary analysis with public transport

	Standard deviation	Minimum	10 th percentile	90 th percentile	Maximum
DEG difference	0.048	-0.132	-0.075	0.051	0.098
Components:					
<i>Relative characteristics</i>	0.011	-0.025	-0.014	0.012	0.040
<i>Absolute characteristics</i>	0.022	-0.050	-0.030	0.027	0.052
<i>Unemployment rate</i>	0.003	-0.006	-0.004	0.003	0.008
<i>GVA per hour worked</i>	0.005	-0.025	-0.008	0.004	0.007
<i>Industries</i>	0.024	-0.085	-0.034	0.019	0.046
<i>Manufacturing</i>	0.004	-0.009	-0.005	0.006	0.008
<i>Other production</i>	0.007	-0.017	-0.010	0.008	0.021
<i>Knowledge services</i>	0.032	-0.114	-0.043	0.026	0.041
<i>Occupations</i>	0.018	-0.038	-0.017	0.023	0.052
<i>Level 4</i>	0.037	-0.061	-0.033	0.055	0.135
<i>Level 3</i>	0.012	-0.032	-0.012	0.018	0.032
<i>Level 2</i>	0.028	-0.104	-0.038	0.023	0.043
<i>GPs per head</i>	0.001	-0.001	-0.001	0.001	0.002
<i>Social Fabric Index</i>	0.010	-0.022	-0.016	0.011	0.028
<i>Disability Confident</i>	0.000	0.000	0.000	0.000	0.000
<i>Sanction rates</i>	0.005	-0.012	-0.006	0.006	0.013
<i>Public transport</i>	0.001	-0.004	-0.001	0.001	0.003
<i>All area level characteristics</i>	0.024	-0.075	-0.038	0.023	0.052
<i>Residual + constant</i>	0.021	-0.051	-0.026	0.022	0.065
DEG difference if component were reduced to zero:					
<i>Relative characteristics</i>	0.045	-0.131	-0.069	0.051	0.091
<i>Absolute characteristics</i>	0.034	-0.082	-0.054	0.035	0.088
<i>Unemployment rate</i>	0.046	-0.128	-0.071	0.047	0.095
<i>GVA per hour worked</i>	0.046	-0.130	-0.072	0.050	0.095
<i>Industries</i>	0.043	-0.105	-0.062	0.046	0.118
<i>Manufacturing</i>	0.049	-0.134	-0.077	0.054	0.102
<i>Other production</i>	0.048	-0.134	-0.074	0.052	0.103
<i>Knowledge services</i>	0.046	-0.101	-0.061	0.052	0.142
<i>Occupations</i>	0.058	-0.163	-0.093	0.064	0.115
<i>Level 4</i>	0.072	-0.187	-0.118	0.083	0.152
<i>Level 3</i>	0.053	-0.147	-0.083	0.065	0.118
<i>Level 2</i>	0.042	-0.097	-0.060	0.050	0.132
<i>GPs per head</i>	0.048	-0.132	-0.075	0.051	0.098
<i>Social Fabric Index</i>	0.042	-0.111	-0.062	0.043	0.093
<i>Disability Confident</i>	0.048	-0.132	-0.075	0.051	0.098
<i>Sanction rates</i>	0.047	-0.126	-0.073	0.050	0.101
<i>Public transport</i>	0.048	-0.132	-0.075	0.051	0.097
<i>All area level characteristics</i>	0.041	-0.106	-0.062	0.048	0.108

NOTE: This table is comparable to Table 3 in main paper.

A4: Method for comparing two local areas

As well as comparing any local DEG with the national DEG, we can also use the decomposition to make direct comparisons of two local areas. It follows from equation (9) in the main paper that the difference between the DEG in area j and area k can be expressed as:

$$\begin{aligned} DEG_j - DEG_k = & [(\bar{\mathbf{x}}_j^0 - \bar{\mathbf{x}}_j^1) - (\bar{\mathbf{x}}_k^0 - \bar{\mathbf{x}}_k^1)]\hat{\boldsymbol{\beta}}^0 + (\bar{\mathbf{x}}_j^1 - \bar{\mathbf{x}}_k^1)(\hat{\boldsymbol{\beta}}^0 - \hat{\boldsymbol{\beta}}^1) \\ & + (\mathbf{z}_j^1 - \mathbf{z}_k^1)(\hat{\boldsymbol{\gamma}}^0 - \hat{\boldsymbol{\gamma}}^1) + (\hat{\boldsymbol{\eta}}_j^0 - \hat{\boldsymbol{\eta}}_j^1) - (\hat{\boldsymbol{\eta}}_k^0 - \hat{\boldsymbol{\eta}}_k^1) \end{aligned}$$

The first term is the component arising because the *relative* characteristics of disabled and non-disabled people differ between the areas; the second term is the component due to differences in *absolute* individual characteristics. The third term is the contribution of differences in the observed characteristics of the two areas, and the fourth term is the difference in unobservable local area effects. The constant drops out now that we are comparing the areas directly and not relative to an overall mean.

A5: Estimation of employment equations

Equations (2) and (3) are estimated sequentially following a two-step approach used previously in other contexts; see Card (1995), Donald and Lang (2007) and Kedar and Shively (2005).

Econometric implications arise because the dependent variable in (3) is estimated from (2) and not measured directly. It is necessary to account for the additional uncertainty introduced by the estimation procedure. Specifically, the residual η_j^D in (3) is likely to be heteroskedastic with a variance of $\sigma^2 + \omega_j^2$ where $\sigma^2 = \text{var}(u_j^D)$ and $\omega_j^2 = \text{var}(\hat{v}_j^D - v_j^D)$. As such, OLS estimation of equation (3) is inconsistent (although unbiased) and yields inconsistent standard errors.

Following Lewis and Linzer (2005), we estimate equation (3) using weighted least squares where the weight $w_j = \frac{1}{\sqrt{\hat{\sigma}^2 + \hat{\omega}_j^2}}$. Here, $\hat{\omega}_j^2$ is estimated from equation (2) and $\hat{\sigma}^2 =$

$$\frac{\sum_{j=1}^J \hat{\eta}_j^2 - \sum_{j=1}^J \hat{\omega}_j^2 + \text{tr}[(\mathbf{Z}' \mathbf{Z})^{-1} \mathbf{Z}' \mathbf{G} \mathbf{Z}]}{J-k}$$

where J is the number of areas, k is the number of area level characteristics, $\sum_{j=1}^J \hat{\eta}_j^2$ is the sum of squared residuals from an OLS estimation of equation (3), $\mathbf{Z}$ is a $J \times (k + 1)$ matrix containing the area characteristics and the constant and $\mathbf{G}$ is a $J \times J$ diagonal matrix with $\hat{\omega}_j^2$ as the j th diagonal element. Equation (3) is estimated separately for the disabled and non-disabled groups, with a separate set of weights, but the D superscripts have been removed in this notation for simplicity.

We do not use additional APS sample weights in the estimation of the individual-level equation (2) since the factors determining response probability are likely to be those demographics already controlled for in the regression.

A6: Decomposition of DEG differences for ITL3 areas of London

Figure A14 decomposes the DEG differences in the ITL3 areas of London into people effects (absolute and relative characteristics) and place effects. The negative place effects indicate that almost all ITL3 areas are ‘over-performing’ (except Bromley and Enfield). However, the role of people effects differs between Inner and Outer London. In the absence of place effects, the population characteristics of ITL3 areas in Inner London are such that we would expect them to have above average DEGs, while the population characteristics of ITL3 areas in Outer London are such that we would expect them to below average DEGs. Even in Inner London though, the place effects are large enough, except in Haringey & Islington and Wandsworth, to more than offset the people effects, so the total DEG is less than the national average.

Figure A14: Decomposition of the DEG differences across London

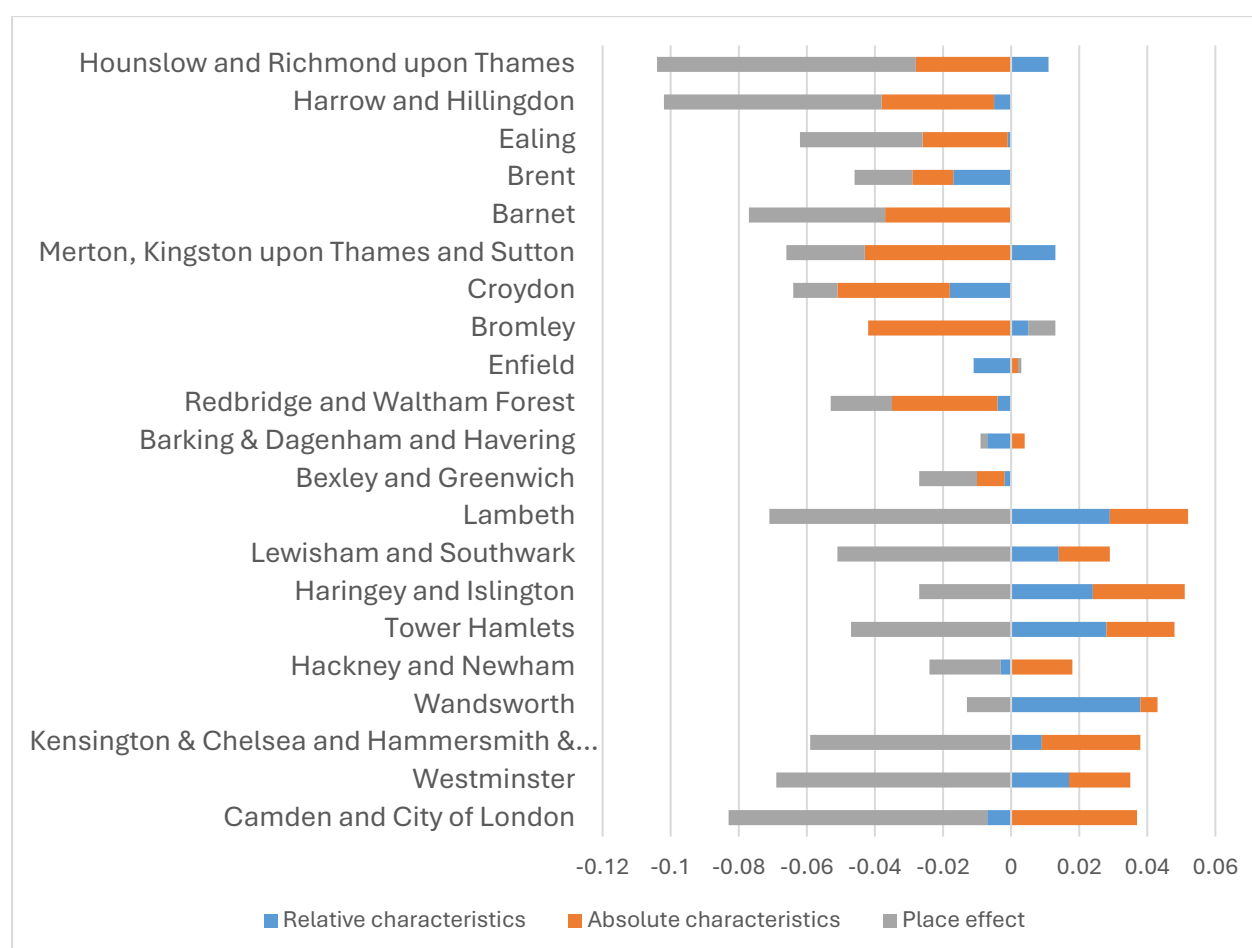
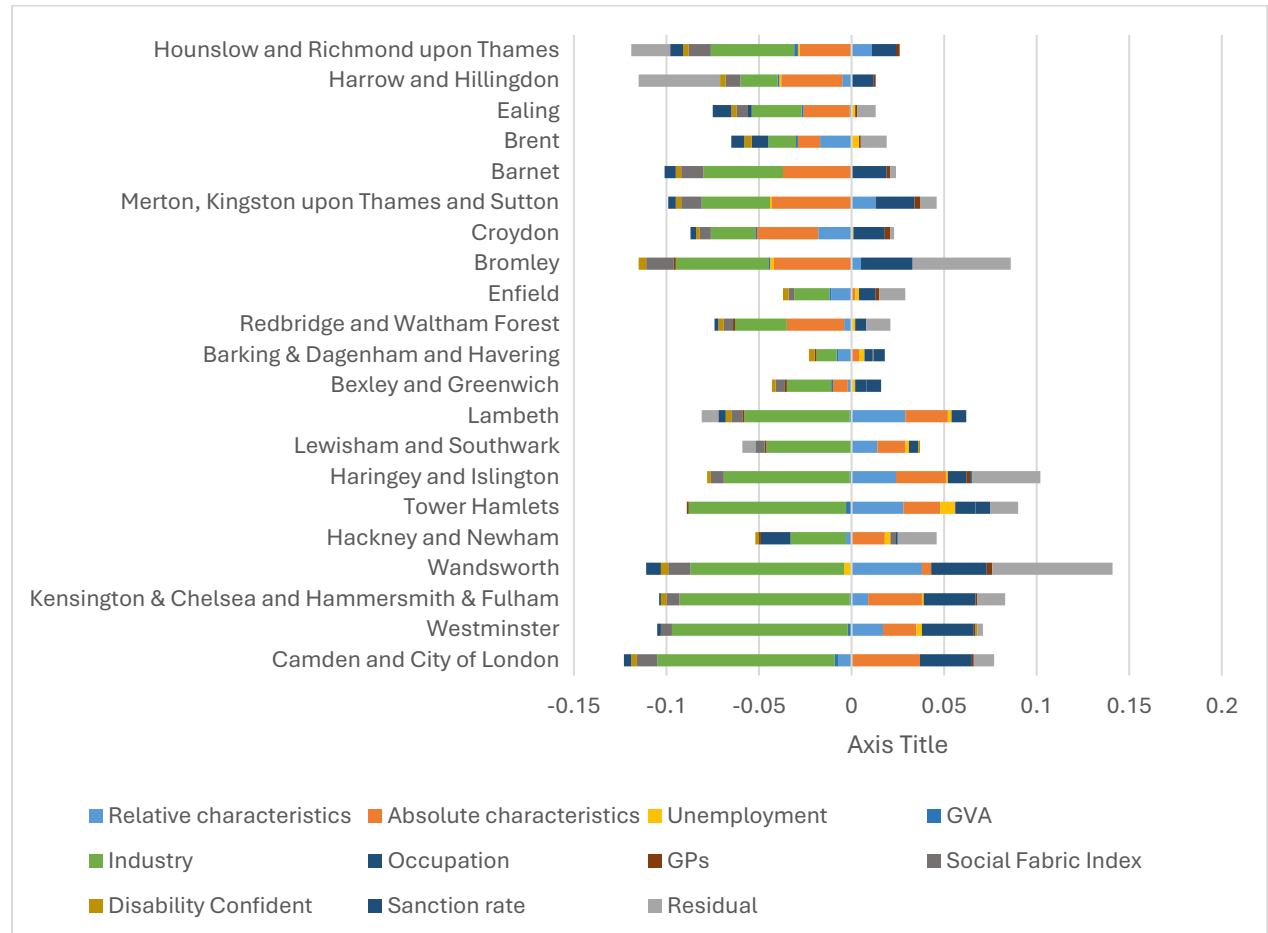


Figure A15 breaks down the place effect into observed area characteristics and a residual. This more detailed decomposition shows that the place effects are largely driven by the industry composition (the green segment). A further breakdown (not shown) indicates that this is due to a preponderance of knowledge jobs in London (IT, finance, professional services and education).

In contrast, there is a smaller offsetting effect (tending to increase the DEG) due to the relatively skilled nature of occupations in London (the dark blue segment).

Figure A15: Decomposition of the DEG differences across London, with area level factors



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